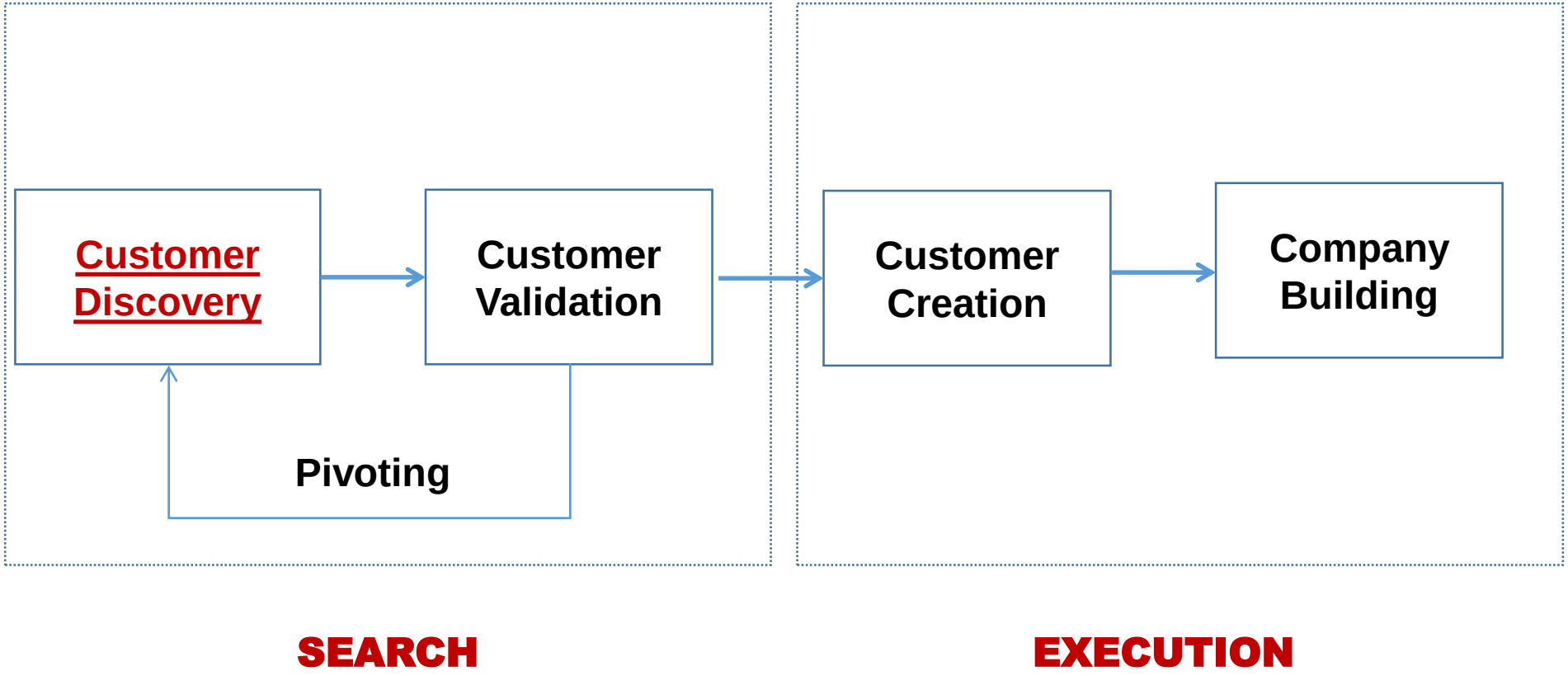
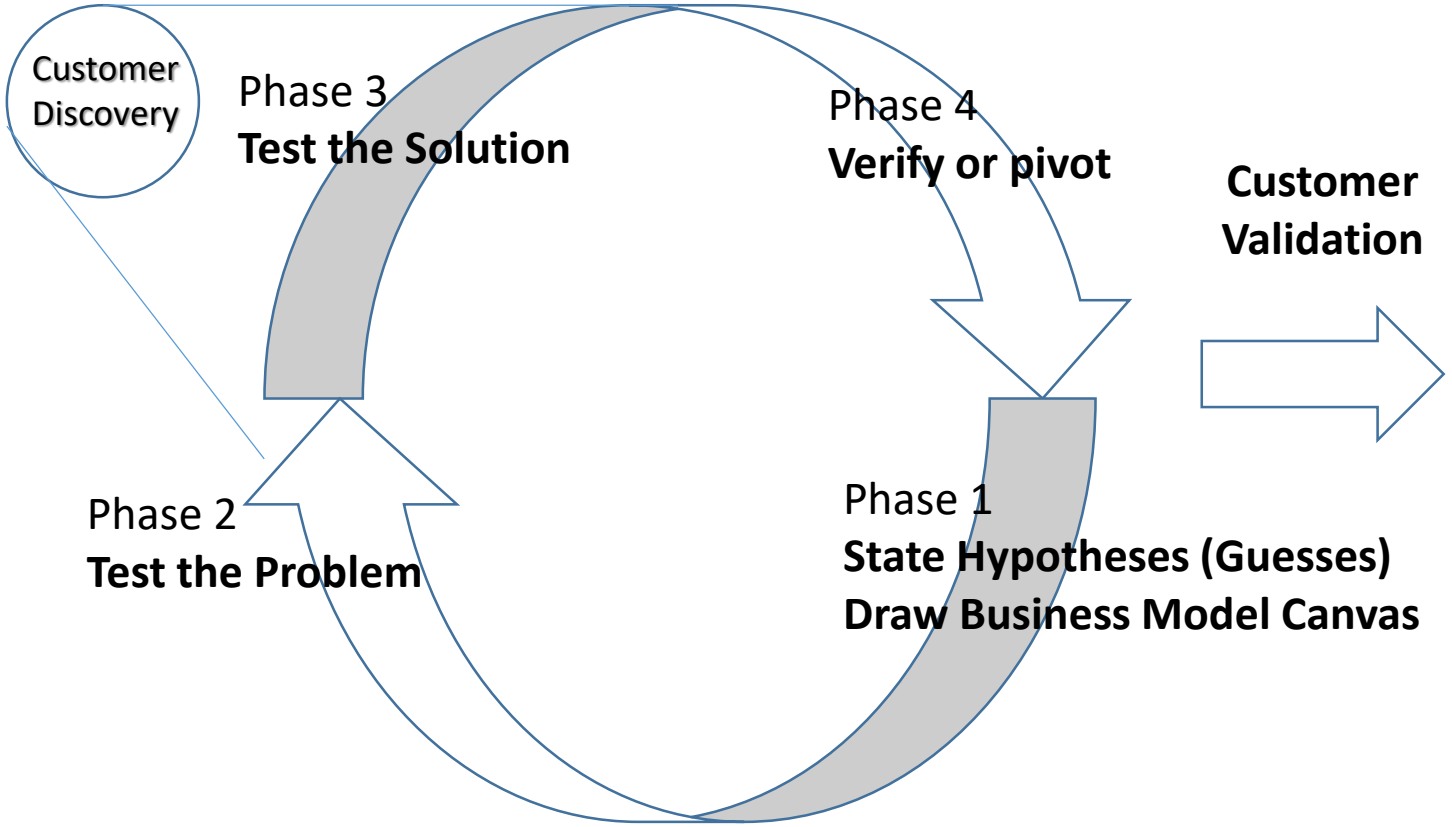
Value Proposition Canvas



Customer Development Model



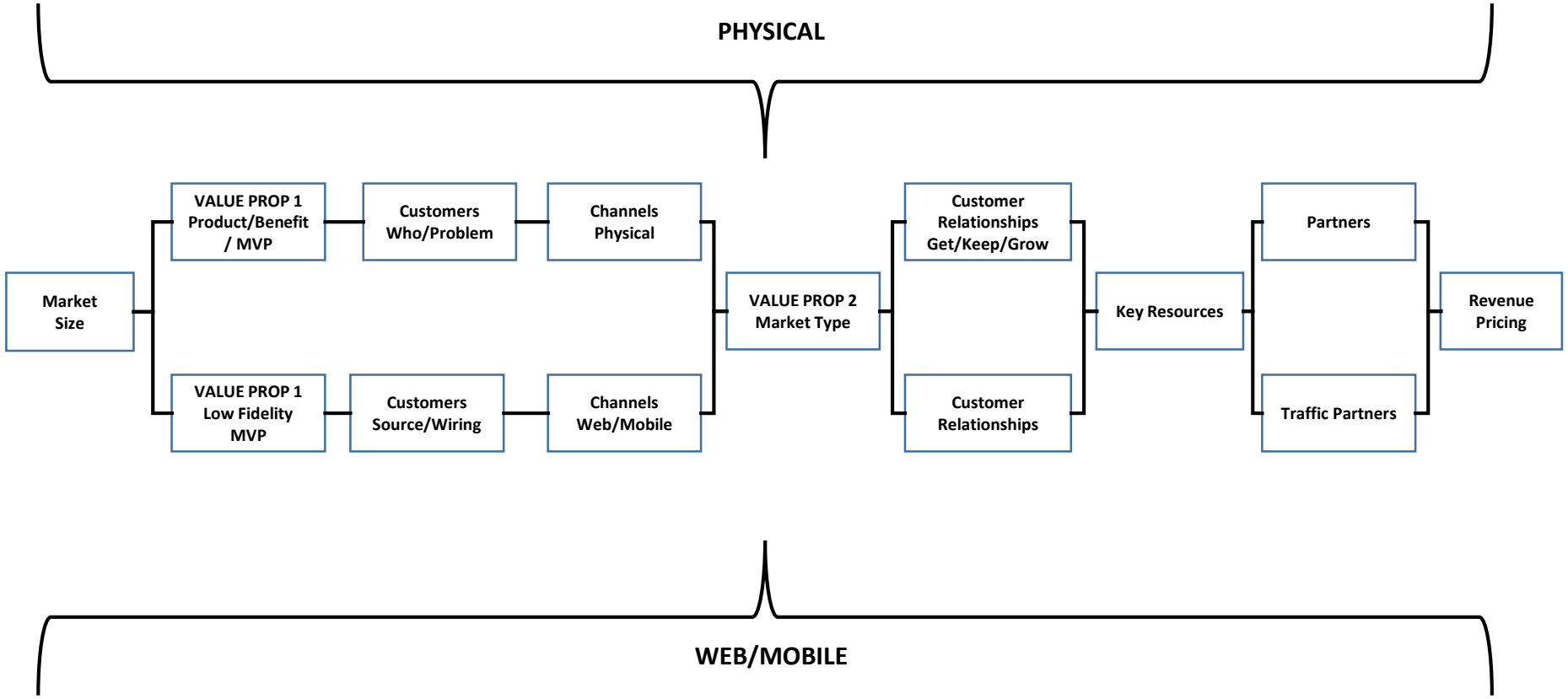
Overview of Customer Discovery



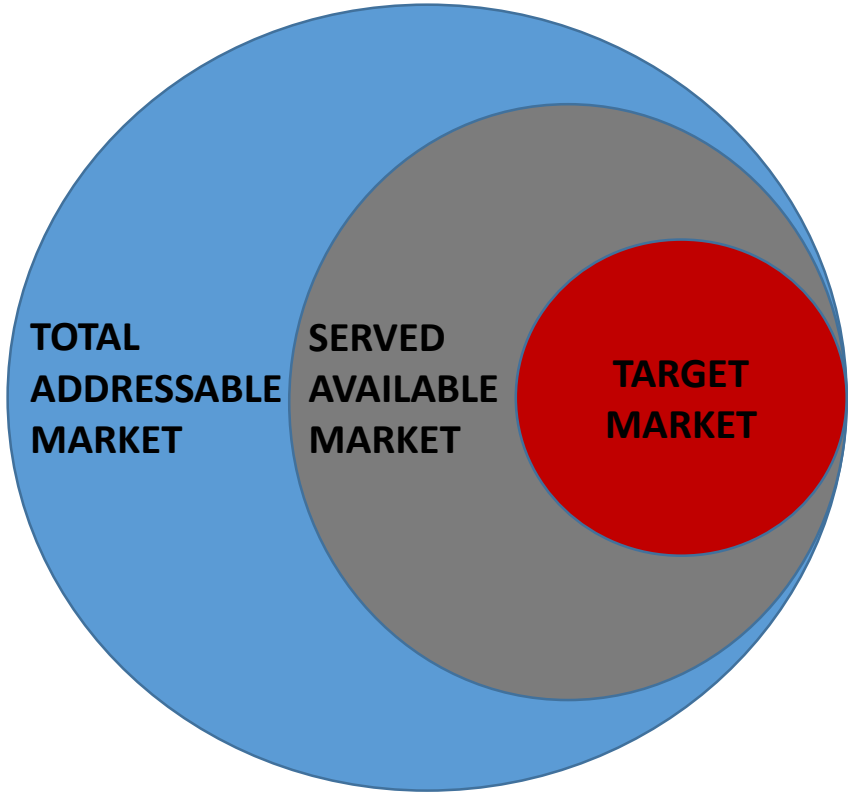
The Four Phases of Customer Discovery

- Phase 1: State your Business Model Hypothesis
  - Deconstructs the founders' vision into the nine parts of the business model canvas.
  - You write one-page briefs about each of the hypotheses, including the list of experiments or tests you'll need to conduct to prove or disprove each one.
- Phase 2: Test the Problem
  - Conduct experiments by running simple pass/fail tests to understand how important the problem is and how big it can become.
- Phase 3: Test the Solution
  - Present your minimum viable product to customers and compare their responses to the "pass/fail" goals you developed earlier.
  - The goal is not to sell the product at this stage. It is just to validate whether customers would respond favorably if the MVP was launched.
- Phase 4: Verify or Pivot

State Your Business Model Hypothesis



Market Size Hypothesis

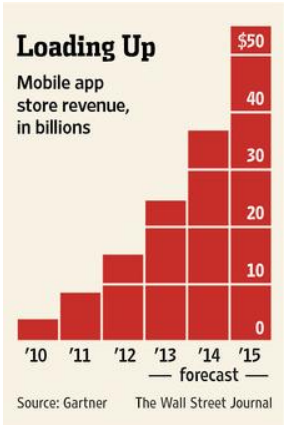


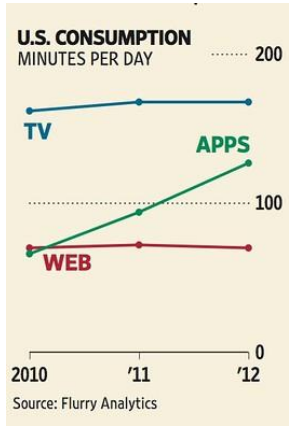
1. Total Available Market:
How big is the pie?

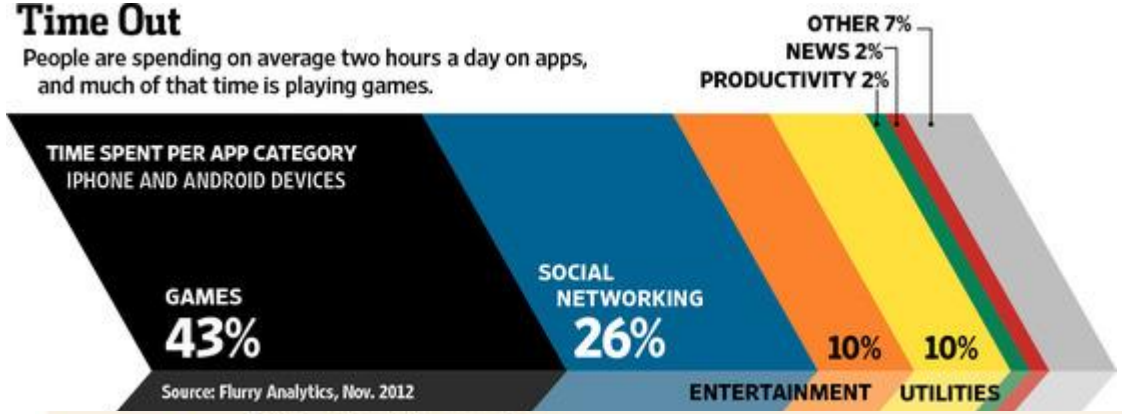
2.Served Available Market:
How big is my slice?

3. Target Market:
How much can I eat?
Who am I going to sell in year 1, 2 and 3?

Market Size Hypothesis: The Business of Mobile Apps

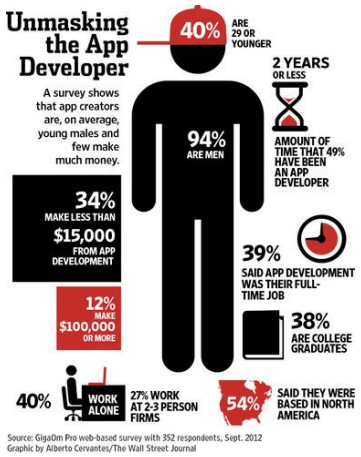






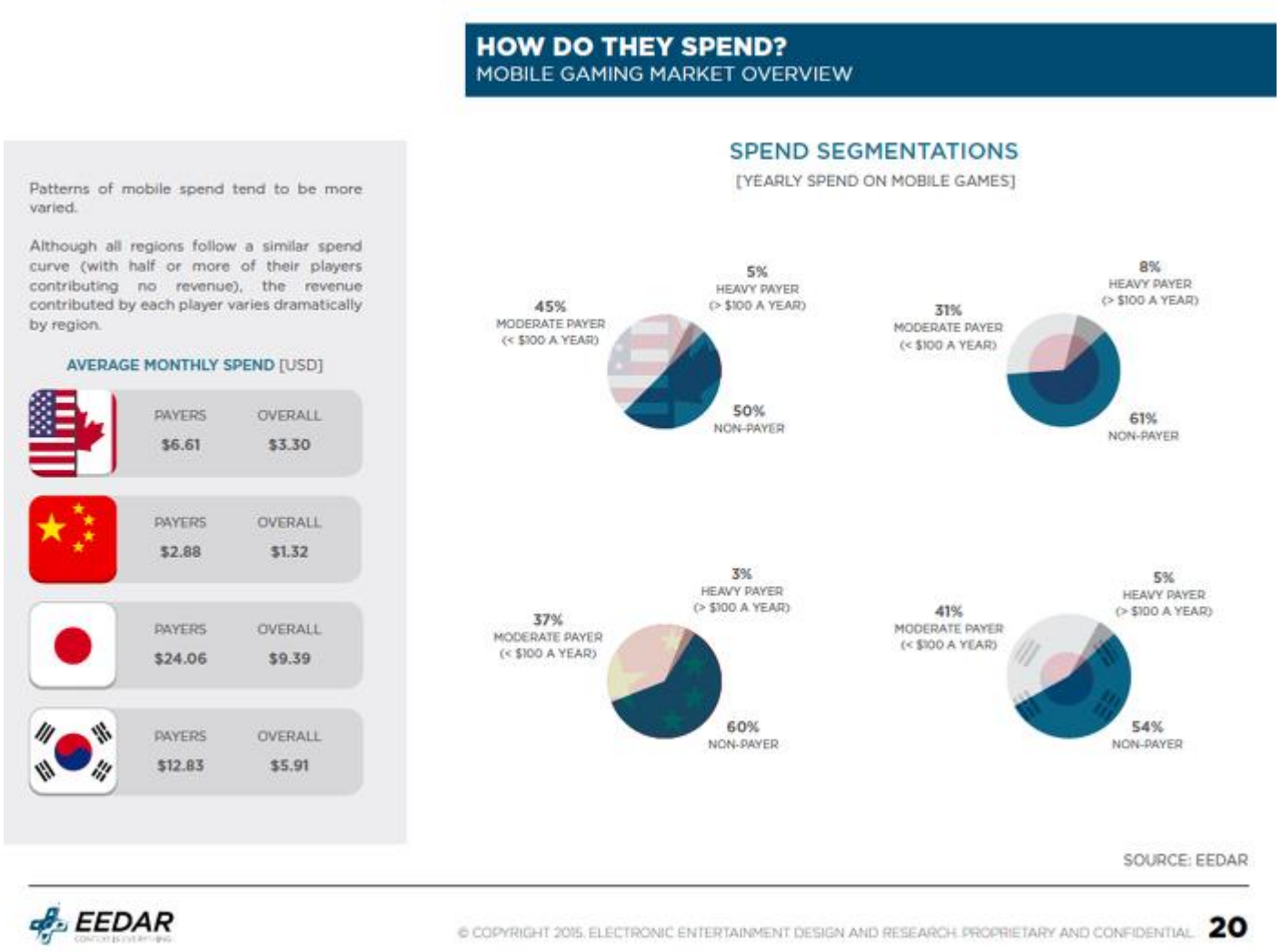
	Google	Apple	Microsoft
Number of users (in millions)	900	600	12
Number of apps (in thousands)	800	1250	160
Number of developers (in thousands)	150	235	45
Number of downloads (in billions)	48	50	.65
Paid to developers (in millions)	900	5000	100



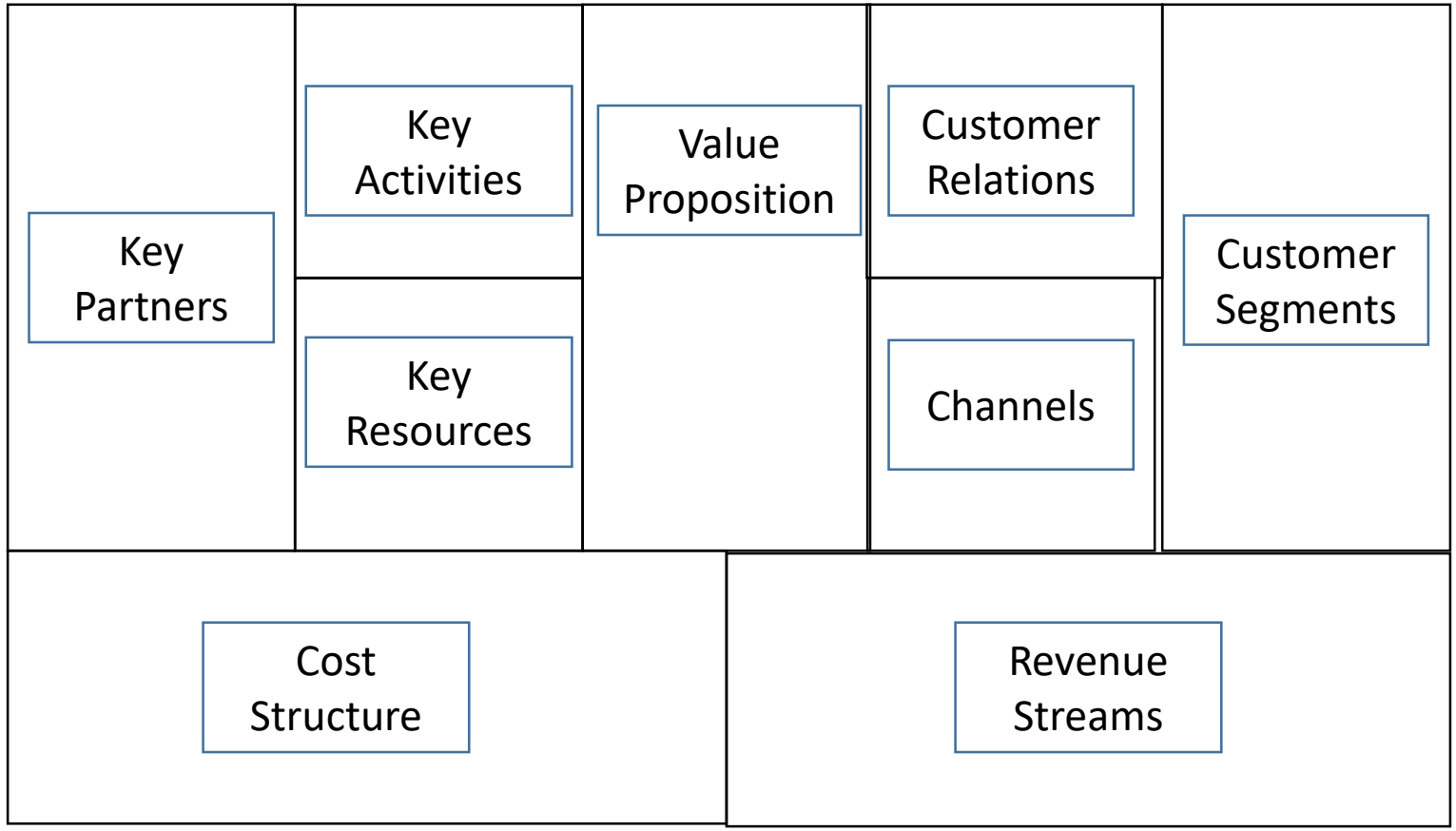


	Google	Apple	Microsoft
Number of apps per developers	5	5	3
Number of downloads per app	60,000	40,000	4,062
Revenue per download	$.01875	$.1	$.1538

$25 Billion Mobile Game Market



Business Model Canvas

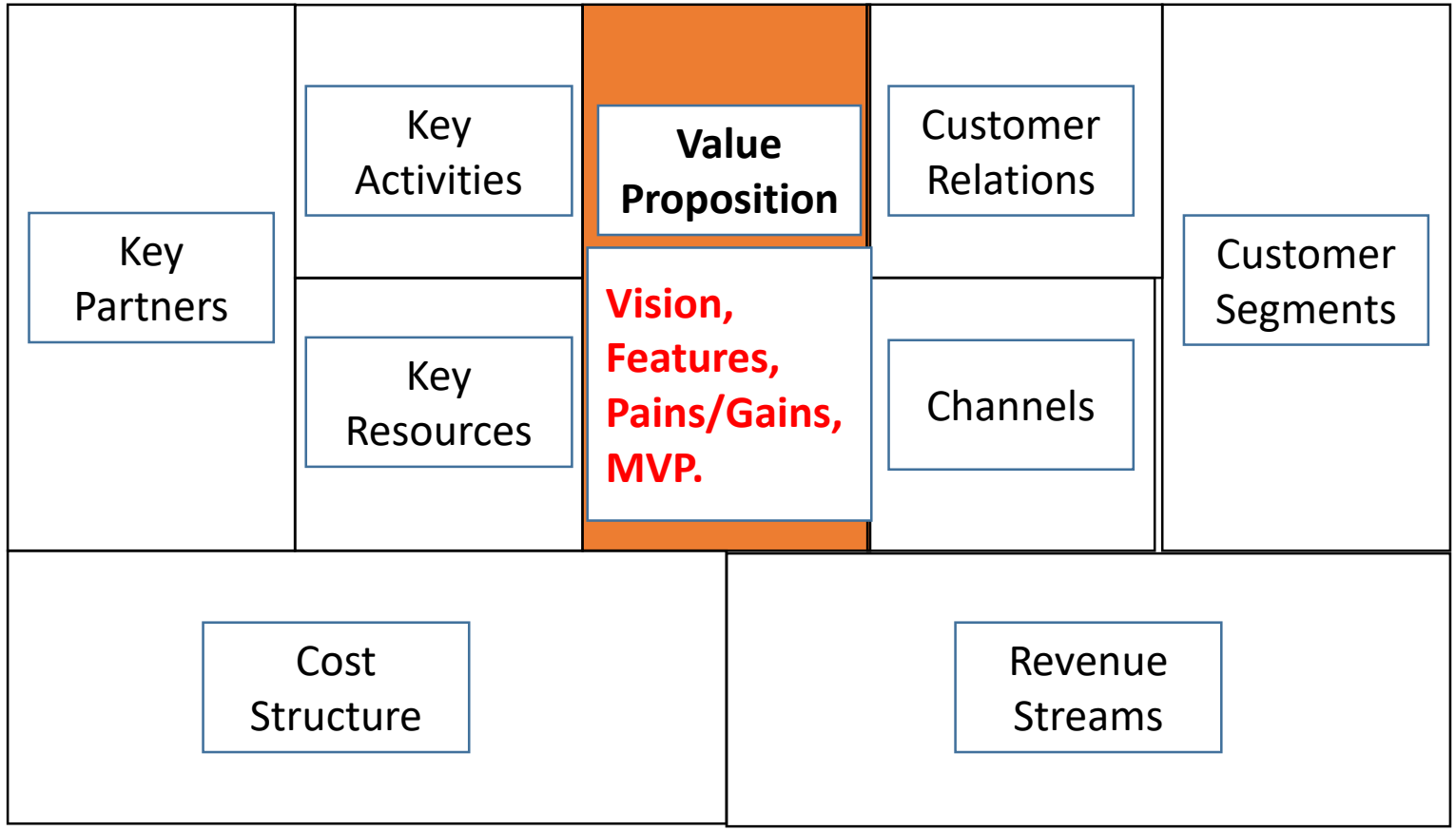


Business Model Canvas in a Nutshell

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
Who are our key partners? Who are our key suppliers? Which key resources are we acquiring from our partners? Which key activities do partners perform?	What key activities do our value propositions require? Our distribution channels? Customer Relationships?	What value do we deliver to the customer? Which one of our customers' problems are we helping to solve? What bundles of products and services are we offering to each segment? What is the minimum viable product?	How do we get, keep, and grow customers? Which customer relationships have we established? How costly are they?	For whom are we creating value? Who are our most important customers? What are the customer archetypes?
	Key Resources What key activities do our value propositions require? Our distribution channels? Customer Relationships?		**Channels** Through which channels do our customer segments want to be reached? How do other companies reach them now?	

Cost Structure	Revenue Streams
What are the most important costs inherent to our business model? Which key resources are most expensive? Which key activities are most expensive?	For what value are our customers really willing to pay? For what do they currently pay? What is the revenue model?

1. Value Proposition



Value Proposition

- What product or service are you building?
- Why would customers/users buy/use your solution?
- You will write a series of briefs on three specific areas:
  A. Product Vision
  B. Product Features & Benefits (Pains you solve/Gains you create)
  C. Minimum Viable Product (MVP)

A. Product Vision

- Capture your vision for what your company to become

- Successful companies are usually more than a single product.

- You will give brief answers to:
  - What’s your long term vision for your company?
  - What do you want to ultimately change?
  - Are you going to do with a series of products?
  - How do you expand into adjacent markets?

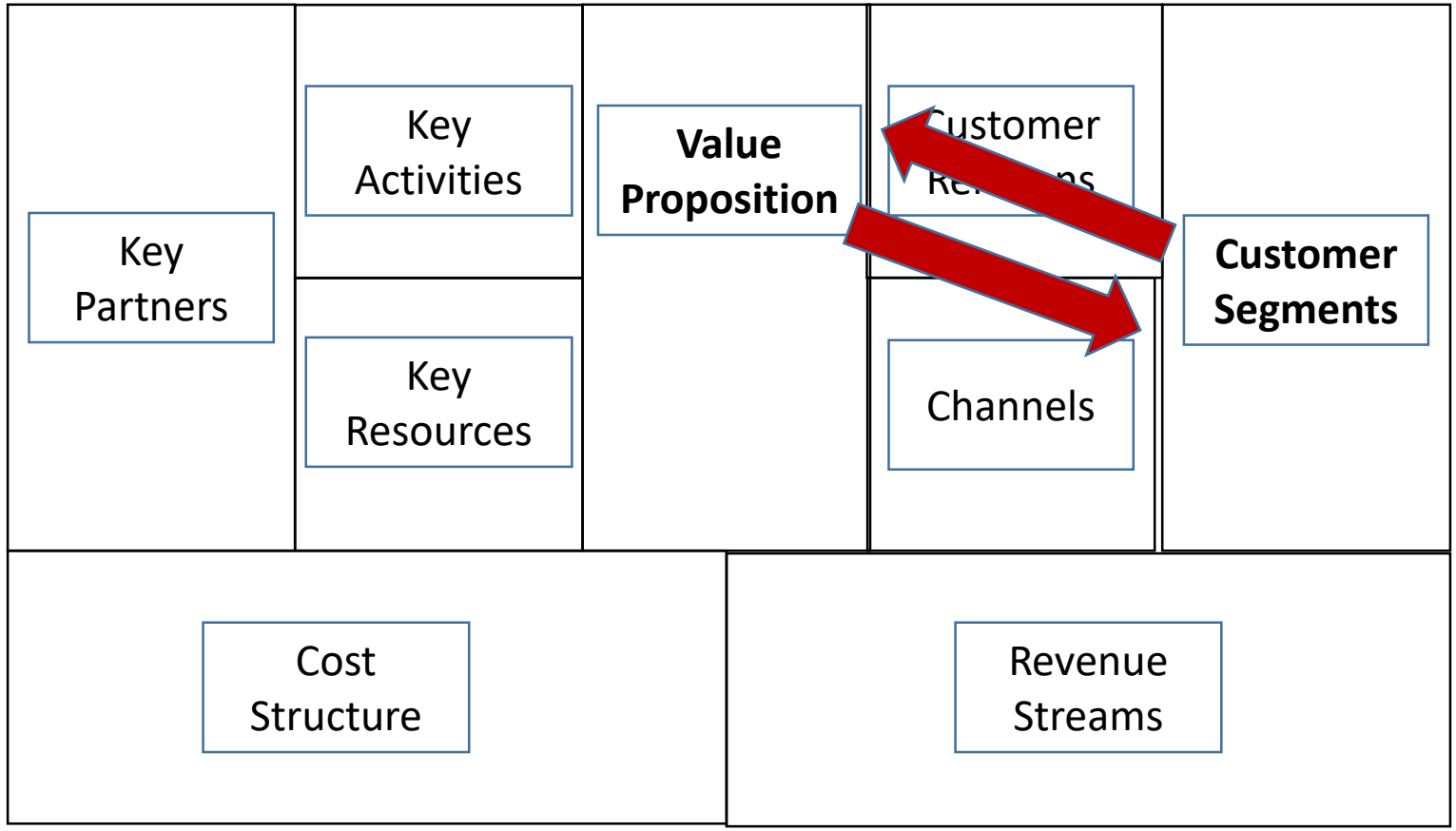
B. Product Features and Benefits

- What is the product and why people will use it or buy it?

- Create a one-page document consisting of one- or two- sentence summaries of the top 10 (or fewer) features of the complete product vision

- Then, create a product benefits list by describing the specific product benefits as seen through customers' eyes.

Product-Market Fit



Product-Market Fit

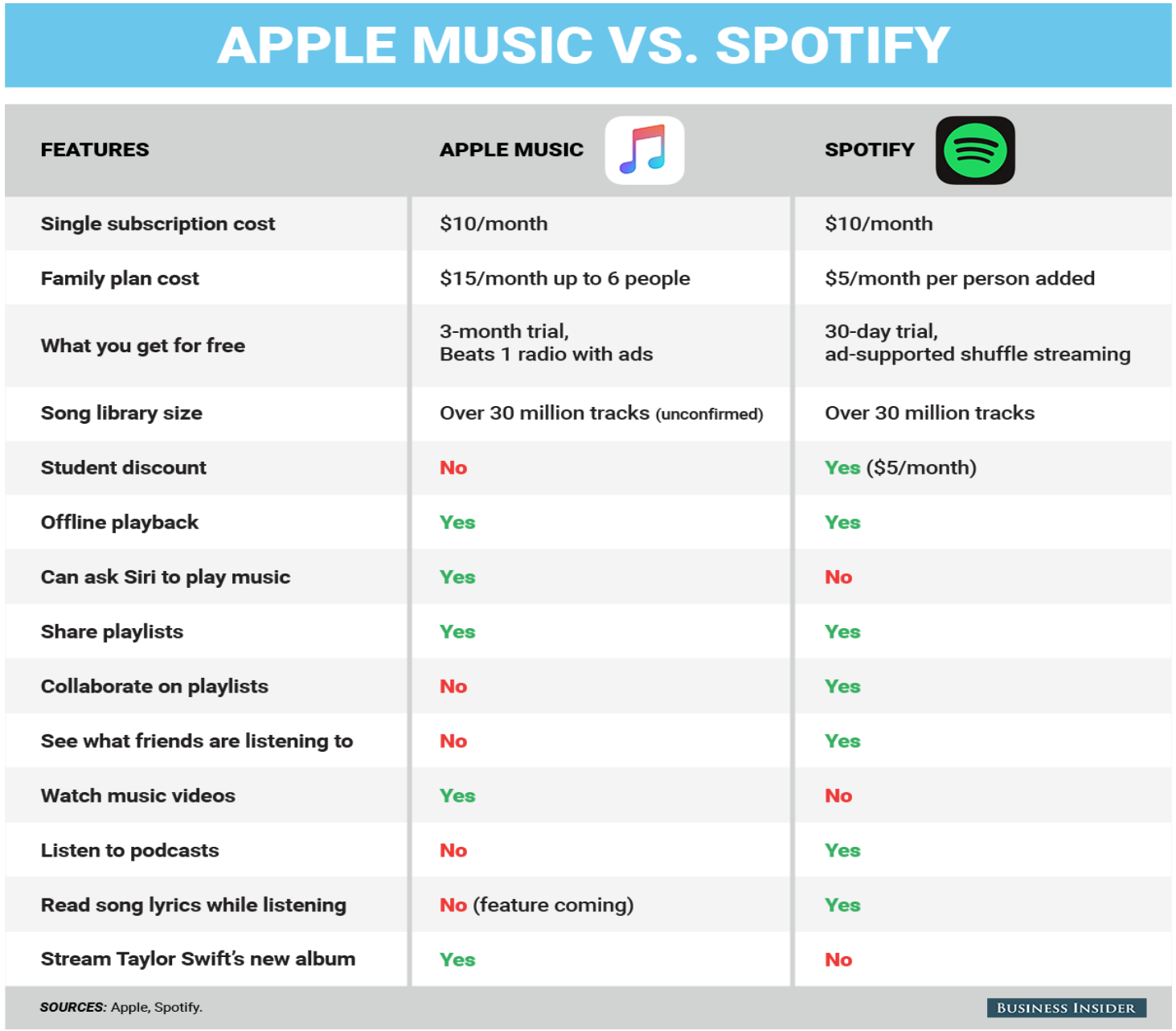
- Value proposition works hand in hand with customer segments.
    - Product-Market Fit :The relationship between value prop and customer segments
- To discover what customers really want, you might have to make iterations between value prop and customer segments

FEATURES,BENEFITS & MVP

FEATURES	CUSTOMER BENEFITS	How do you test the feature-customer fit?
1.		
2.		
3.		
4.		
5.		
6.		
7.		
8.		
9.		
10.		

1. The Features Column: List key product/service/software/application features (at most 10).
2. The Customer Benefits Column: Describe the benefit of each feature to customers.
3. Determine your Minimum Viable Product-MVP (minimum feature set you will use to test your idea). Indicate the MVP features on your features/benefits table by using *italic fonts.*

Apple Music vs. Spotify



Pain Killers: What will you reduce or eliminate for your customers?

- Produce savings in time, money or effort?
- Make your customers feel better? (Entertainment Products)
- Fix underperforming solutions? Better, faster?
- End challenges?
- Minimize negative social consequences?
- Eliminate risks of your customers? Financial, personal etc.

Pain Killers - Ranking

- Rank each pain according to
  1. Intensity: How important is this pain?
  2. Frequency: How often does it occur? Yearly,Monthly or Daily, Hourly.

Gain Creators: What are the benefits that customers expect?

- Less effort, lower costs…
- Better outcomes
- Make job life easier
- Positive social consequences

Gain Creators - Ranking

- Rank each gain according to
  1. Relevance: How important is this gain?
  2. Frequency: How often does it occur? Yearly,Monthly or Daily, Hourly.

Value Prop - Products

- What is the entire package/complete product?

- Products
  - Hardware
    - Goods, commodities
  - Intangible products
    - Copyrights, licenses
  - Financial products
    - Guarantees, insurance policies
  - Digital Products
    - E-books

Value Prop - Services

- Core Services
  - Consulting, investment advice, housekeeping, haircut, intermediary between sellers& buyers…
- Pre-sales or Sales Services
  - Free delivery, financing…
- After-sales Services
  - Free maintenance, disposal…

What are parts of Amazon’s Product?



amazon.com is

- A website for finding and buying products
- A review and rating system for products
- A protection against fraud by marketplace sellers
- An environment for downloading movies, music and books

C. Minimum Viable Product (MVP)

- The smallest possible group of features that will work as a stand-alone product while still solving at least the core problem and demonstrating the product's value.

- The MVP is:
  - A tactic for cutting back on wasted engineering hours
  - A strategy to get the product into earlyvangelists hands as soon as possible
  - A tool for generating max customer learning in the shortest possible time.

- The sooner the MVP is in their hands, the sooner feedback can arrive.

- The MVP will help you understand what not to ship!!

Why is it important to define the MVP?

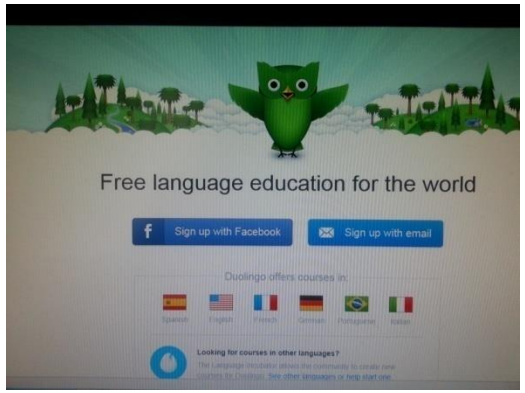
- “Staying in the building and keep adding features” is WRONG!!
- MVP’s aim is to understand the version that will meet minimal customer needs.
- Help you understand if there is a market for your product before committing significant time and money.
- Interaction and iteration will help you understand your customers’ needs.

Let’s assume you will develop a language learning/translation website and/or mobile app. What features should it have? What features should the MVP have?

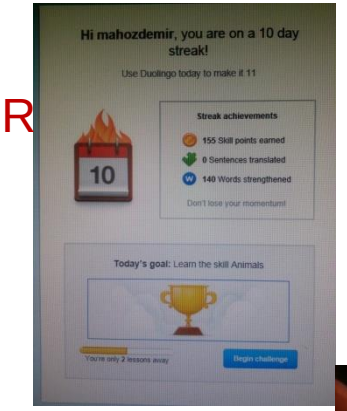
DUOLINGO EXAMPLE

Duolingo is a free language-learning website and crowdsourced text translation platform. The service is designed so that, as users progress through the lessons, they simultaneously help to translate websites and other documents.

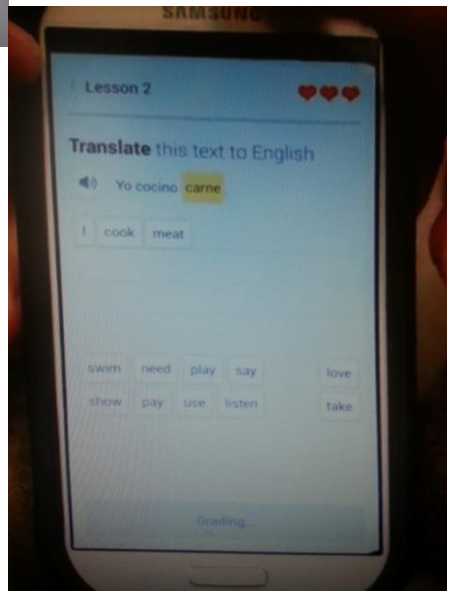
LANDING PAGE



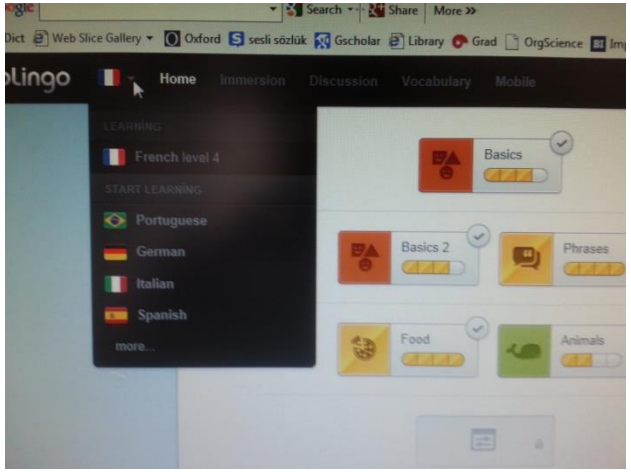
DAILY REMINDER

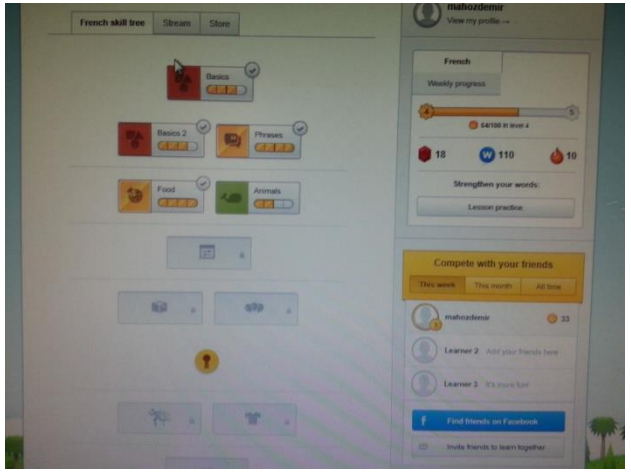


MOBILE VERSION

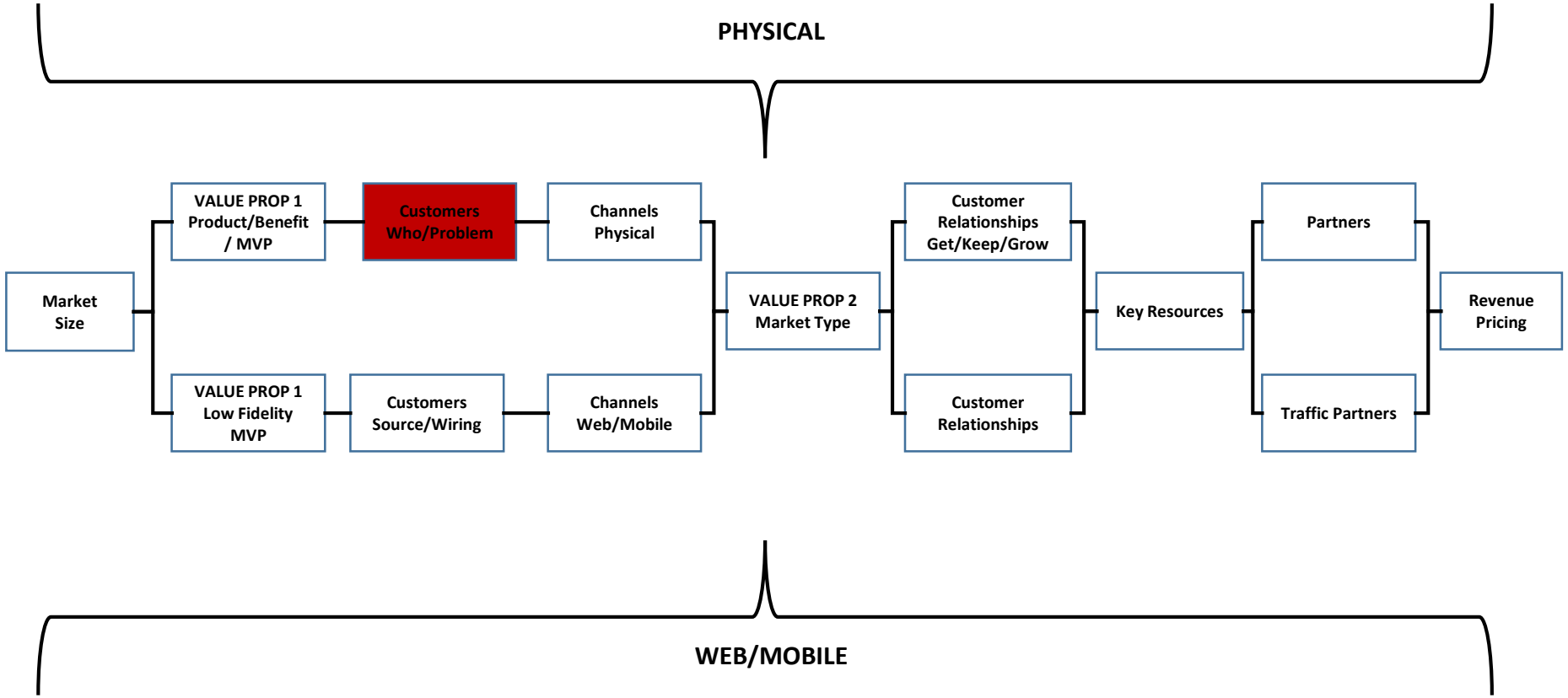


MAIN MENUS

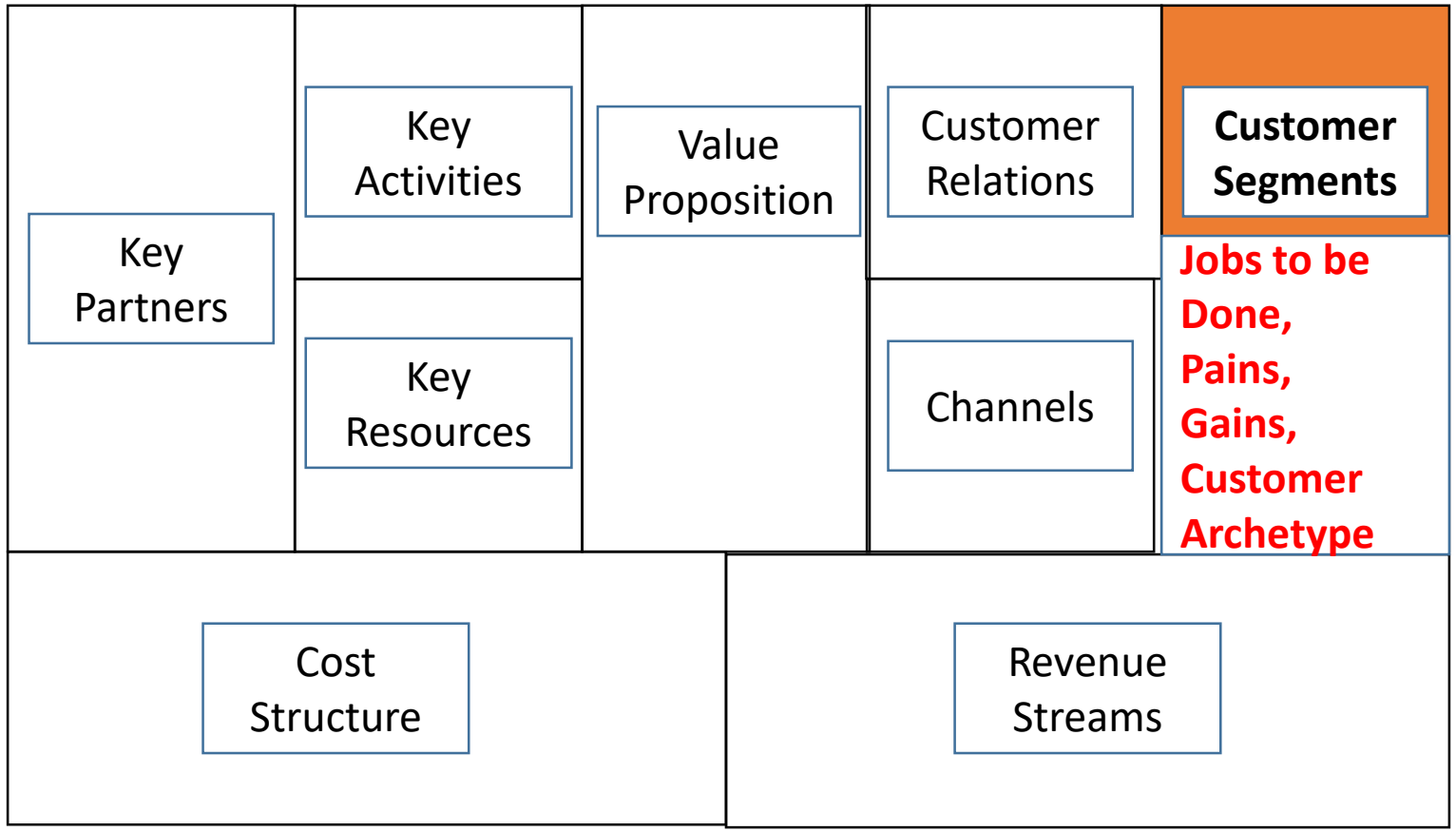




State Your Business Model Hypothesis



2. Customer Segments



Customer Segments

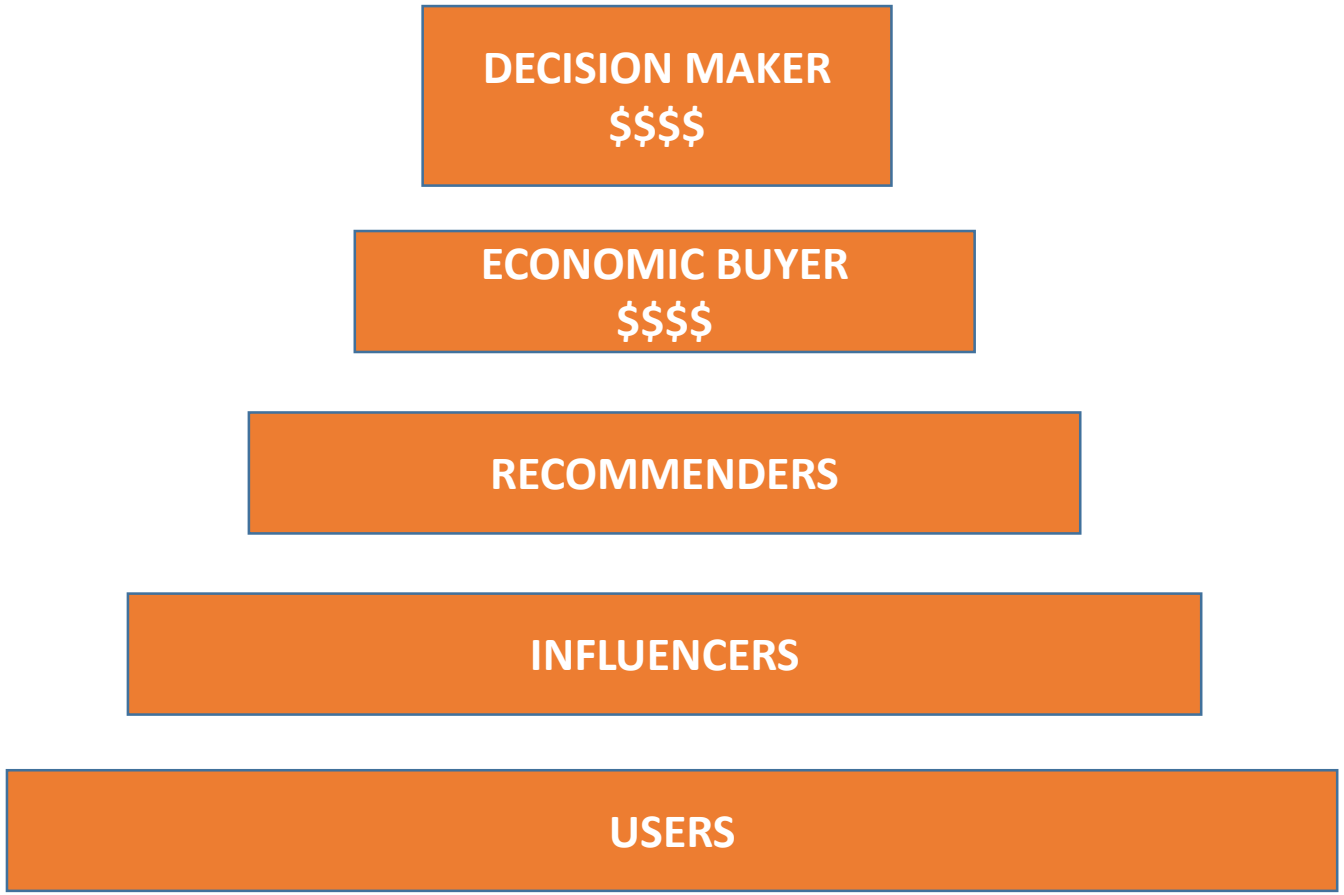
- Your customers don’t exist to buy; you exist for them. Products are sold because they solve a problem or fill a need.

- Who are your customers?
- What are their problems and needs?
- What are customer types?
- What are customer archetypes?
- What is a day in the life of a customer?
- What is the customer segment trying to get done?

The Customer Problem, Need or Passion

- Latent Problem: They have a problem but don't know it
- Passive Problem: They know the problem but aren't motivated or aware of the opportunity to change
- An Urgent Problem: They recognize a problem and are searching for a solution but haven't done any serious work to solve the problem
- A Vision: They have an idea for solving the problem and even have cobbled together a home-grown solution, but are prepared to pay for a better one

Customer Types: Who is the customer in the context?

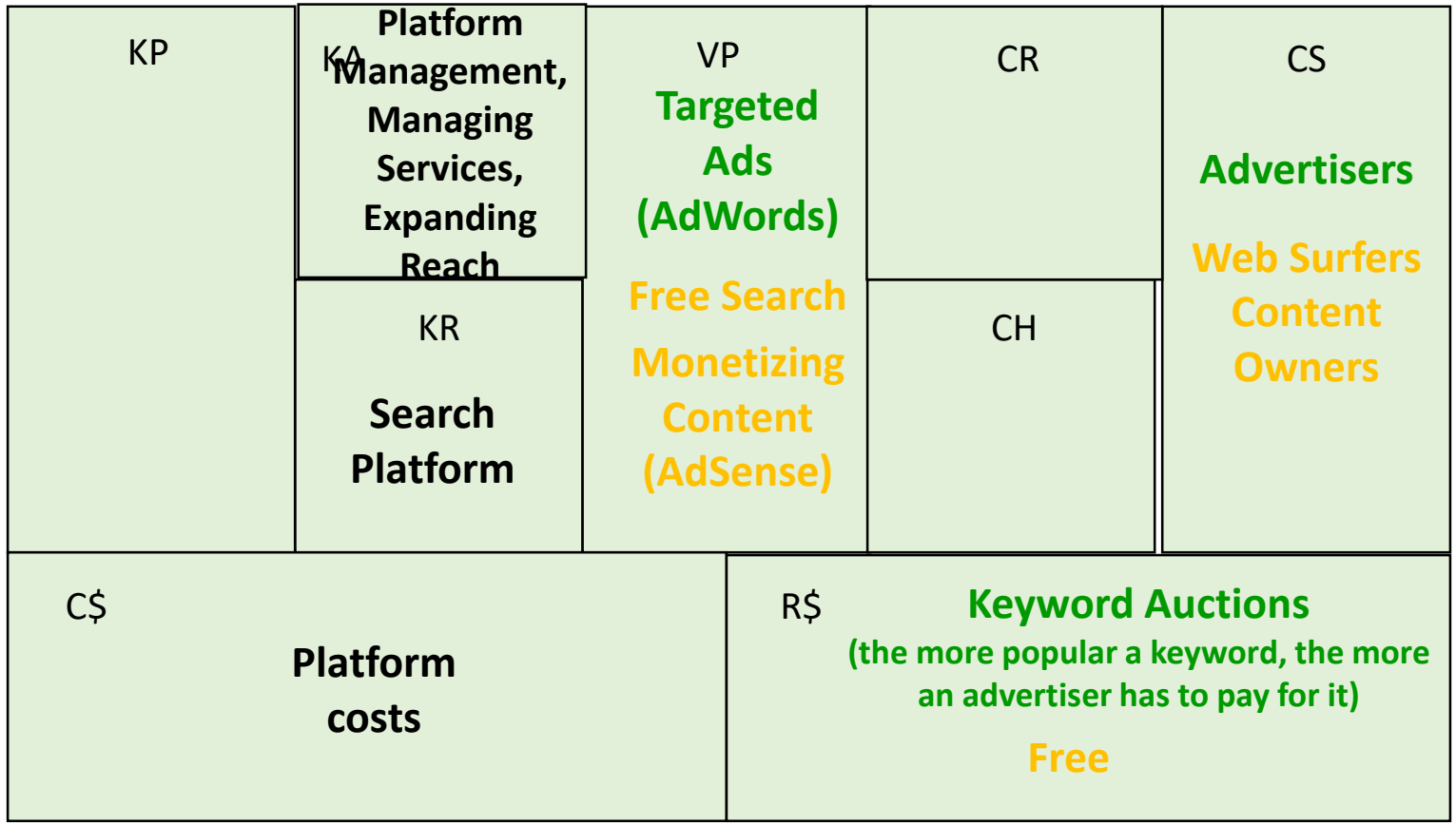


Adapted from 'Steven Blank. The Four Steps to Epiphany.pg.44'

Single-Sided vs. Multi-Sided Markets

- The customer is “the user” and “the payer” in single-sided markets.
- “The user” and “the payer” different people in multi-sided markets.
  - Google: as user of Google search engine, you don’t pay for your searches. The payers are companies that use Google ads.
  - Users first (acquire a massive amount of users), Revenues second (figure out how to monetize them)

Google's Business Model



Customer Archetype

Who are your customers?



PROFILE:

- Position/Title
- Role
- Age
- Sex
- Discretionary Budget
- Why do they buy?
- Role Models
- Where do they spend their time?
- Hobbies
- …

Draw a diagram of 1-day in the life of a customer

Today's Date: _____

7 AM

8 AM

9 AM

10 AM

11 AM

12 PM

1 PM

2 PM

3 PM

4 PM

5 PM

6 PM

7 PM

8 PM

9 PM

10 PM

11 PM

messagesystems™

A Day in the Life

Rise and shine, a new day awaits.

And Message Systems is here to keep you on track with the latest updates in your social networks, work inbox and financials. Why's that? Because approximately 20% of global email is sent through our Momentum software. Walk with us for a moment.

Good morning! **Facebook** alerts you that your buddy Rachel has tagged you in photos from last night's dinner.

facebook

During your morning commute, **Match.com** sends you a notification that *officenerd2093* has just winked at you.

match.com

At the office, you receive a **Linkedin** recommendation from one of your colleagues.

LinkedIn

GROUPON

Lunch time! You head out to try the new Italian deli, Guiseppe's, thanks to your **Groupon** daily deal.

Survey Monkey emails you a questionnaire asking for feedback about the new spin class instructor.

SurveyMonkey

On your way home, **PayPal** emails you a receipt for the online order of flowers to be delivered on your mother's birthday.

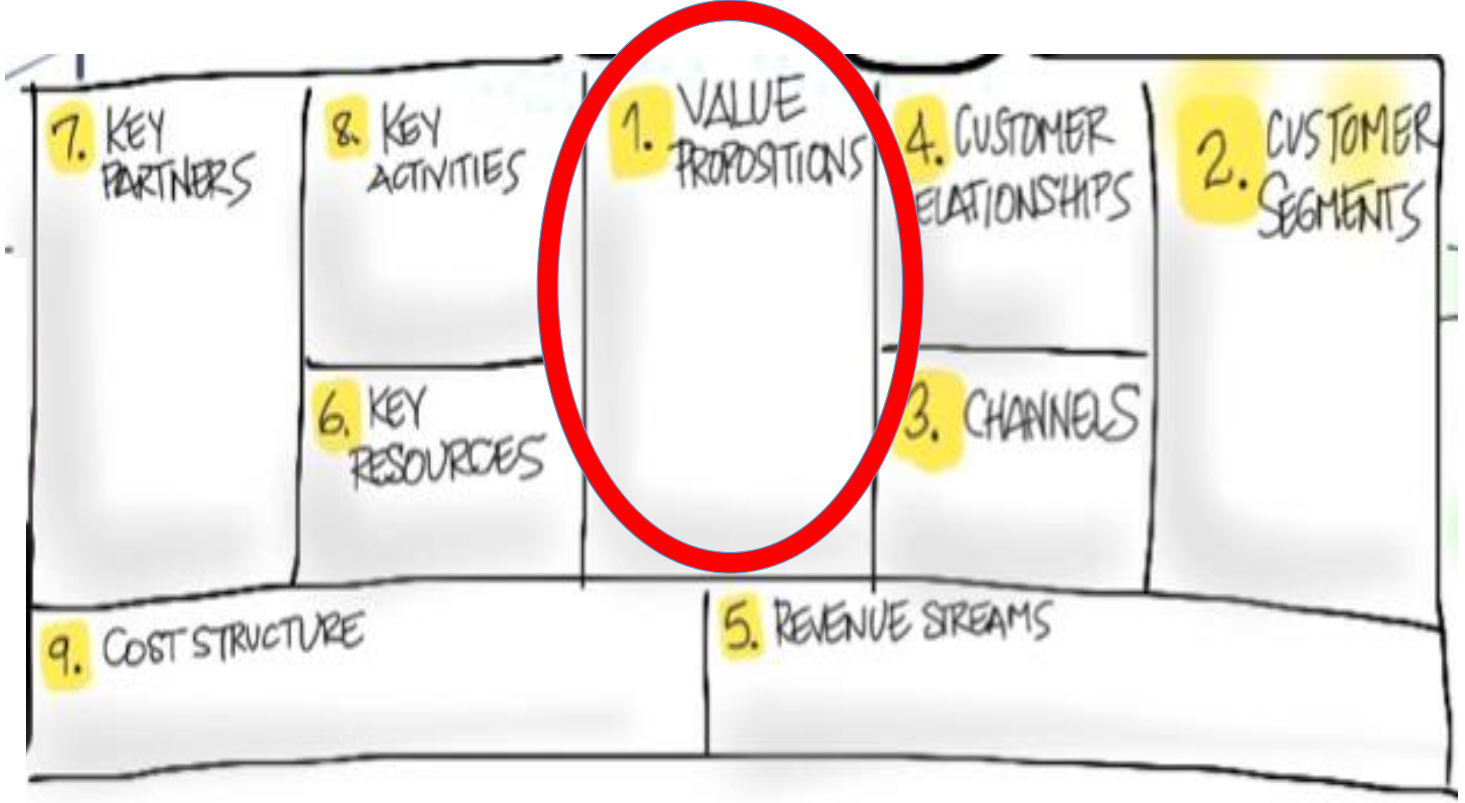
PayPal™

Good night, we'll see you soon :)

Whenever you check your email, it's likely that you are interacting with Message Systems. That's because a who's who of e-businesses, retailers, brands and cloud companies power communications through Momentum. So rest well. We look forward to spending another day with you tomorrow.

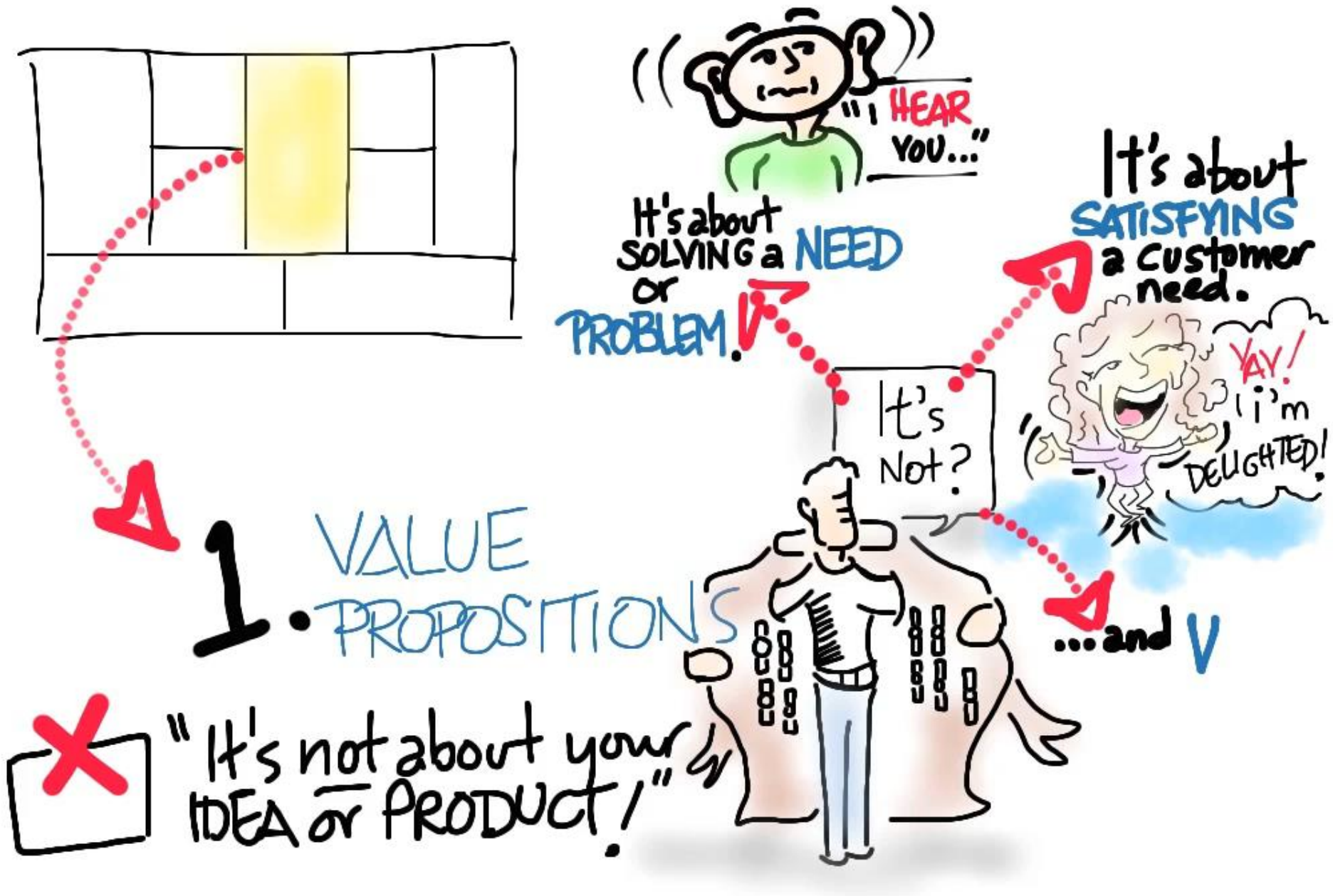
message systems™

Infographic by messagesystems™.com | 9130 guilford road, columbia maryland 21046 tel +1 410-872-4910 toll free usa 877-887-3031 | ©2013 Message Systems, Inc., all rights reserved.



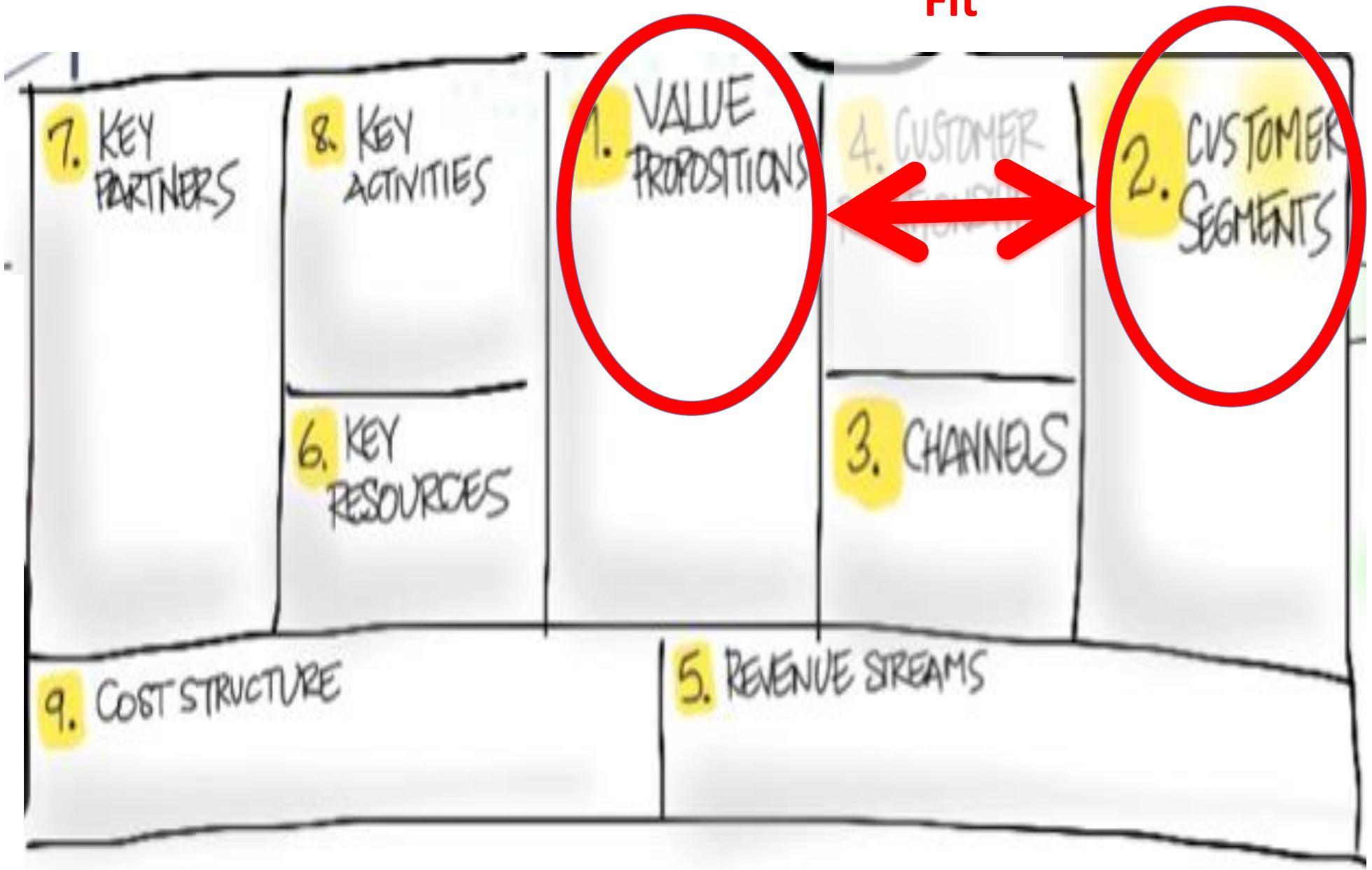
Value Proposition

What Are You Building and For Who?



© 2012 Steve Blank

Product/Market Fit



Value Proposition – Common Mistakes

- It’s too big or amorphous
- Value Proposition includes competitive set
- “It’s just a feature” of someone else’s product
- It’s a “nice to have” instead of a “got to have”
- Not enough customers care

Questions for Value Proposition

- **Competition:** *What do customers do today?*
- **Technology / Market Insight:** *Why is the problem so hard to solve?*
- **Market Size:** *How big is this problem?*
- **Product:** *How do you do it?*

Key Questions for Value Prop

- **Problem Statement:** *What is the problem?*
- **Ecosystem:** For whom is this relevant?
- **Competition:** *What do customers do today?*
- **Technology / Market Insight:** *Why is the problem so hard to solve?*
- **Market Size:** *How big is this problem?*
- **Product:** *How do you do it?*

Jobs to be Done

- What is the customer segment trying to get done?
- Is it a problem or need?
- What functional or social jobs are getting done?
- What emotional jobs are getting done?
- What basic needs are you helping your customers satisfy?
- Milkshake example (http://hbswk.hbs.edu/item/5170.html)

Jobs to be Done - Ranking

- Rank each job according to its significance to the customer.
  - Crucial or trivial?
- At what frequency does it occur?
- Outline the context in which job is done?

Pain Killers vs. Gain Creators

Pain Killers

Reduce or eliminate wasted time, costs, negative emotions, risks - during and after getting the job done

Pain Killers - Hypotheses

- Produce savings?
  - (e.g. time, money, or efforts, …)
- Make your customers feel better?
  - (e.g. kills frustrations, annoyances, things that give them a headache, ...)
- Fix underperforming solutions?
  - (e.g. new features, better performance, better quality, ...)
- Ends difficulties and challenges customers encounter?
  - (e.g. make things easier, helping them get done, eliminate resistance, ...)
- wipe out negative social consequences?
  - (e.g. loss of face, power, trust, or status, ...)...
- Eliminate risks

Pain Killer – Problem or Need?

- Are you solving a Problem?
- Are you fulfilling a Need?
- For who?
- How do you know?

Pain Killer Ranking

- Rank each pain your products and services kill according to their intensity for the customer.
- Is it very intense or very light?
- For each pain indicate the frequency at which it occurs
- Is it intense and frequent enough to be a business?

Gain Creators

How do they create benefits the customer expects, desires or is surprised by, including functional utility, social gains, positive emotions, and cost savings?

Gain Creators- Hypotheses

- Create savings that make your customer happy?
  - (e.g. in terms of time, money and effort, ...)
- Produce expected or better than expected outcomes?
  - (e.g. better quality level, more of something, less of something, ...)
- Copy or outperform current solutions that delight customer?
  - (e.g. regarding specific features, performance, quality, ...)
- Make your customer's job or life easier?
  - (flatter learning curve, usability, accessibility, more services, lower cost of ownership, ...)
- Create positive consequences that customer desires?
  - (makes them look good, produces an increase in power, status, ...)

Gain Creator- Ranking

- Rank each gain your products and services create according to its relevance to the customer.
- Is it substantial or insignificant?
- For each gain indicate the frequency at which it occurs.

Stop and Discuss

- Are we “pain” or “gain” and does the level of pain/gain get customers VERY excited?
- REMEMBER: you’re focusing on “problem!!!”
- Are we proving our current Value Proposition?
- Need to make it stronger, more unique? How?
- Any feedback telling us it’s not so exciting?
- Ideas on how to make the Value Prop stronger?
- What else do we need to do to be sure?

Product/Services

Value Proposition (Physical Products)

- Which are part of your value proposition?
  - (e.g. manufactured goods, commodities, produce, ...)
- Which intangible products are part?
  - (e.g. copyrights, licenses, ...)
- Which financial products?
  - (e.g. financial guarantees, insurance policies, ...)
- Which digital products?
  - (e.g. mp3 files, e-books, ...)

Value Proposition (Services)

- Which core services are part of your value proposition?
  - (e.g. consulting, a haircut, investment advice, ...)
- Which pre-sales or sales services?
  - (e.g. help finding the right solution, financing, free delivery service, ...)
- Which after-sales services?
  - (e.g. free maintenance, disposal, ...)

Please answer the following questions for your business idea, submission deadline 24.11.2020

- Your team
- Your Business idea (very beriefly, one sentence)
- For whom are we creating value?
- Who are our most important customers?
- What are our promises to our customers? (What value do we deliver to the customer?)
- What problems do your customers have and how are you solving them? (Which one of our customer's problems are we helping to solve?)
- How does your product or service meet the needs of your customers? (Which customer needs are we satisfying?)
- What value do you deliver to your customer segments?
- What bundles of products and services are we offering? (to each Customer Segment?)
- What do you offer that is unique, and why will your customers prefer your solutions to alternatives that might be available?

- Please do not hesitate to contact me if you have any questions or for anything ☺

- 05335526835
- hsergun@gmail.com

☺Take good of yourself, this World needs you ☺

☺Looking forward to meet in class ☺